

Brazil's Lula reelection odds drop to 55%

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【メール原文】

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Daily Brief

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summary

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EG has lowered Brazilian President Luiz Inacio Lula da Silva's reelection odds to 55% as Flavio Bolsonaro's early campaign strength reshapes a tightening race.

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Europe enters winter with just enough natural gas in storage to get through the season, leaving little margin for error if conditions deteriorate.

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Poland will delay fiscal consolidation until after its next election, with likely presidential vetoes of new revenue measures threatening to deepen an already large deficit.

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The BRICS summit will yield only incremental gains in the bloc's relevance, falling well short of posing a transformative challenge to the Western-led global order.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, Canada, China, the EU, Hungary, India, Mexico, North Korea, Poland, Russia, South Korea, aerospace & defense, energy, and geo-technology.

the top line

Brazil—Lula's reelection odds drop to 55% in a tightening race

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EG is lowering Lula's odds of winning from 60% to 55%, reflecting a strong start to Flavio Bolsonaro's campaign and a modest drop in the president's approval ratings.

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Campaign effectiveness will be a decisive variable in a tight dispute, a metric in which Bolsonaro has outperformed Lula since TV and radio ads began on 28 August.

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Incumbency advantages still give Lula a slight edge, and the Workers' Party will intensify its negative campaign against Bolsonaro, presenting the real test to his bid.

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Read more here, and about Latin American politics here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Europe—Europe has enough gas in storage with little room for error

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Europe's main natural gas inventories will likely be sufficient to carry industries and households through winter—but only just, with Germany, one of the EU's two biggest gas consumers, trailing five-year average storage levels.

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Italy largely filled its natural gas storage well ahead of winter, with inventories exceeding 80% by end of August—almost 60 days of winter gas supply excluding other sources. Germany, by contrast, had filled only 53% as of 1 September, providing roughly 40 days of peak winter supply.

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Even so, gas prices will likely remain elevated and could rise further if winter is unusually cold or prolonged, or if additional unplanned supply disruptions occur, complicating what is already a below-average supply position.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Poland—Poland will defer fiscal consolidation until after the 2027 election

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At 7.1% of GDP, Poland's planned deficit is among the EU's largest and will stay there until at least 2028, when consolidation may begin after the autumn 2027 elections.

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The budget's revenue targets depend heavily on new taxes that President Karol Nawrocki is likely to veto, raising the prospect of further fiscal slippage beyond current projections.

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Defense spending will become an increasingly important contributor to Poland's growth, with €43.7 billion in preferential loans from the EU's Security Action for Europe instrument carrying a growing share of the cost.

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Read more here . Reach out to discuss: europe@eurasiagroup.net.

China, India—BRICS Summit

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EG analysts on a conference call discussed the BRICS summit in New Delhi on 12-13 September, where eyes will be on bilateral dynamics between Prime Minister Narendra Modi and President Xi Jinping and on Middle East tensions, with India hoping for a low-profile summit that doesn't provoke Washington or

hand China a strategic win.

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A common BRICS currency is off the table, and digital payment integration remains aspirational, with India the primary blocker and China positioned to push harder when it hosts in 2027.

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All three participating analysts agree that BRICS will see incremental gains in relevance—through infrastructure financing, bilateral facilitation, and a partial payments architecture—but will not be a transformative alternative to the Western-led order.

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Read more here, and read more on China here and India here . Reach out to discuss: globalmacro@eurasiagroup.net .

Russia—Duma election will test bureaucratic capacity and offer succession clues

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Although United Russia is guaranteed to win an orchestrated majority in the 18-20 September parliamentary election, the overall result matters less than what the process reveals about the system's stability and its ability to deliver a result for the Kremlin without incident.

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We place the odds of a smooth election for United Russia at 75%, but a recent series of clumsy top-down reversals points to growing bureaucratic sclerosis—making visible irregularities and a forced late intervention real tail risks even in a scripted race.

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A newly seated Duma, holding one of the few nationwide political mandates left in the system, would play a central role in the event of a political succession, making even marginal shifts in composition worth watching.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

eg in depth

US—US will retain high-end advantage amid global defense hedging: Allies and partners are increasingly hedging against Washington by adopting a “US+” arms-procurement approach amid doubts about US security guarantees, though diversification remains limited to select priority systems. NATO allies are among the most active diversifiers but face tradeoffs between capability acquisition speed and strategic autonomy. The US will remain dominant in top-tier air and missile defense and other networked platforms, but Gulf states, India, and Northeast Asian allies will localize production and diversify lower-tier capabilities as alternatives mature. Read more here . Reach out to discuss: aerospacedefense@eurasiagroup.net .

EU, Geo-technology—ChatGPT designation extends platform regulation to AI chatbots: Brussels’ decision to bring ChatGPT into the scope of the Digital Services Act (DSA) means OpenAI will face greater scrutiny and regulatory obligations such as risk assessment and mitigation. Though the DSA was not drafted with AI in mind, Brussels' classification of ChatGPT as a search engine creates a template for other chatbots once they cross 45 million active EU users. Despite White House opposition

to EU tech rules, Brussels will very likely designate Microsoft Azure and Amazon Web Services under the Digital Markets Act (DMA) this fall, as part of a broader push to bring AI into scope of the EU's platform regulation toolkit. Read more here . Reach out to discuss: europe@eurasiagroup.net .

US, Canada, Mexico—US-Mexico trade after the Canada standoff: On a conference call, EG analysts discussed the odds of a full review of the US-Mexico-Canada Agreement (only 5%), and that the basecase remains a “Zombie USMCA” in which bilateral protocols increasingly replace trilateral dealmaking through the rest of President Donald Trump's administration. Mexico is better positioned than Canada in the negotiations but has little to show for its greater flexibility, and talks with Mexico in September will probably be postponed, which would slow the negotiating timeline and increase the chances that discussions extend into at least the first quarter of 2027. Domestic constraints, rather than bilateral trade friction, remain the main obstacle to investment in Mexico, with energy infrastructure, especially transmission, as the primary bottleneck and judicial reform and security concerns creating additional headwinds. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Hungary—After early wins, Magyar faces asset recovery and growth tests: Hungary has met the EU's Recovery and Resilience Facility milestones, likely unlocking €10 billion, pending European Commission confirmation by the end of September. Prime Minister Peter Magyar used his first 100 days to accelerate an anticorruption and institutional clean-up but faces protracted court battles to recover state assets diverted during Viktor Orban's rule in the near term. Though inflation is easing, Hungary's economic recovery faces tightening constraints from drought and energy shocks, stretched public finances, and weakening German demand. Read more here . Reach out to discuss: europe@eurasiagroup.net .

North Korea, South Korea, US—Obstacles to Trump-Kim summit likely insurmountable in near term: South Korea was alarmed at Trump's unilateral decision to reduce joint training exercises last month, but Seoul will support Washington's renewed outreach to North Korea and a push to reduce tensions on the Korean Peninsula. Nevertheless, a summit between Trump and North Korean leader Kim Jong-un remains unlikely to come together by November despite a recent softening of positions that has prompted speculation a meeting could take place when Trump next travels to Asia. Kim is in a significantly stronger geopolitical position than during Trump's first term, and he will likely demand a cancellation of US-South Korea joint military exercises or recognition of North Korea's nuclear program before returning to the negotiating table—concessions that Trump is unlikely to offer. Read more here . Reach out to discuss: korea@eurasiagroup.net .

Upcoming events:

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4 September: Data: Brazil trade, US nonfarm payrolls, and unemployment rate.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“While the EU has launched several initiatives for member states to work together and pool their defence efforts ... the goal of defence readiness by 2030 remains challenging,” Marek Opióła, a member of the European Court of Auditors, wrote in a 3 September report that Europe will struggle to meet its

target of defense readiness by 2030.

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